

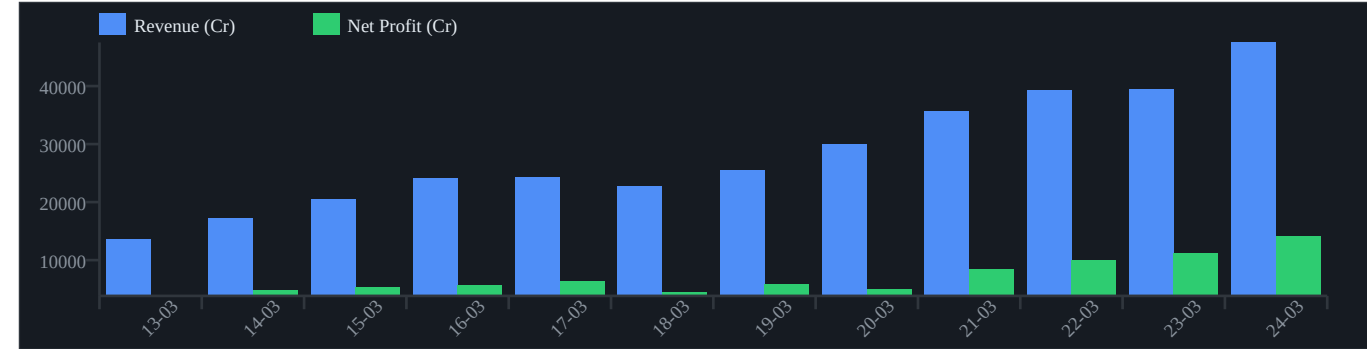
REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

KEY PERFORMANCE INDICATORS

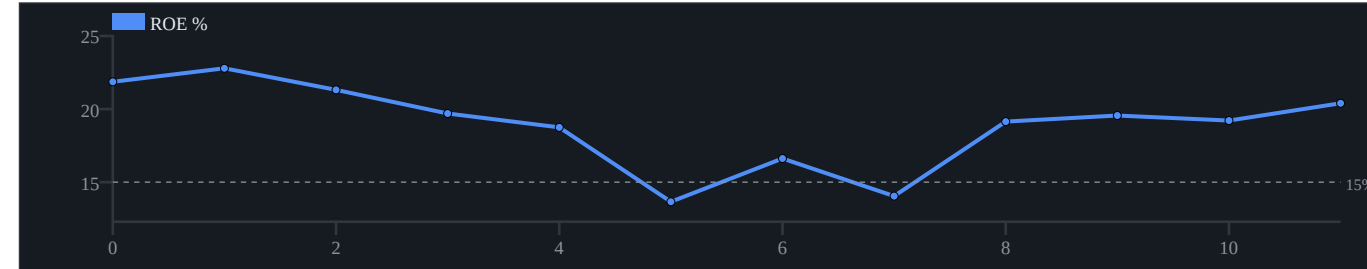
ROE	ROCE	NPM	D/E	Health Score	P/E
20.4%	0.0%	29.8%	6.4	47/100	31.5×
Return on Equity	Return on Capital	Net Profit Margin	Debt / Equity	Composite Score	Price/Earnings 2024

Rev CAGR 5yr	PAT CAGR 5yr	EPS CAGR 5yr	FCF	Health Band	Capex Pattern
13.3%	19.8%	19.7%	-59554 Cr	Moderate	Startup / Distress —
Revenue Growth	Profit Growth	EPS Growth	Free Cash Flow		Capital Alloc

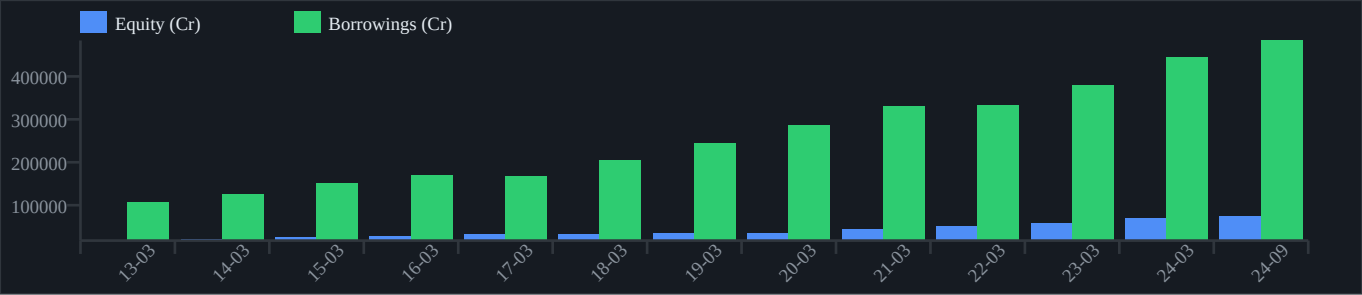
REVENUE & NET PROFIT (Rs. Cr)



ROE vs ROCE TREND (%)



BALANCE SHEET COMPOSITION (Rs. Cr)



CASH FLOW (Rs. Cr)



FINANCIAL SUMMARY

Metric	Value	Metric	Value
Health Score	47/100	Health Band	Moderate
Asset Turnover	0.1	CFO/PAT Ratio	-4.1
CapEx Intensity	3.9%	FCF Conversion	-124.4%
Net Debt (Cr)	440216	Capital Pattern	Startup / Distress — investing
Rev CAGR 10yr	10.7%	EPS CAGR 5yr	19.7%

INVESTMENT INSIGHTS

✓ STRENGTHS	✗ RISKS
• Strong ROE of 20.4% indicates excellent shareholder value creation.	• Negative or deteriorating free cash flow over 3 consecutive years raises cash generation concerns.
• Operating margin of 100.8% indicates strong operational efficiency.	• Interest coverage of 1.6× is below the 2× safety threshold.
	• Low CFO/PAT ratio of -4.08× suggests accrual-based earnings rather than cash earnings.
	• Working capital cycle of 3909 days suggests slow collections or high inventory.